

grower such as Houston Industries resembles the topographical map of Delaware, which, as you probably know, has no hills. Compare this to the chart of Wal-Mart, which looks like a rocket launch, and you'll see that Wal-Mart is definitely not a slow grower (see accompanying charts).

Another sure sign of a slow grower is that it pays a generous and regular dividend. As I'll discuss more fully in [Chapter 13](#), companies pay generous dividends when they can't dream up new ways to use the money to expand the business. Corporate managers would much prefer to expand the business, an effort that always enhances their prestige, than to pay a dividend, an effort that is mechanical and requires no imagination.

This doesn't mean that by paying a dividend the corporate directors are doing the wrong thing. In many cases it may be the best use to which the company's earnings can be put. (See [Chapter 13](#).)

You won't find a lot of two to four percent growers in my portfolio, because if companies aren't going anywhere fast, neither will the price of their stocks. If growth in earnings is what enriches a company, then what's the sense of wasting time on sluggards?

THE STALWARTS

Stalwarts are companies such as Coca-Cola, Bristol-Myers, Procter and Gamble, the Bell telephone sisters, Hershey's, Ralston Purina, and Colgate-Palmolive. These multibillion-dollar hulks are not exactly agile climbers, but they're faster than slow growers. As you can see in the chart of Procter and Gamble, it's not as flat as the map of Delaware, but it's no Everest, either. When you traffic in stalwarts, you're more or less in the foothills: 10 to 12 percent annual growth in earnings.

Depending on when you buy them and at what price, you can make a sizable profit in stalwarts. As you can see on the Procter and Gamble chart, the stock has performed well throughout the 1980s. However, if you'd bought it back in 1963, you only made fourfold on your money. Holding a stock for twenty-five years for that kind of return isn't a very exciting prospect—since you're no better off than if you'd bought a bond or stuck with a cash fund.

In fact, when anyone brags about doubling or tripling his money on a stalwart (or on any company, for that matter), your next question ought to be: "And how long did you own it?" In many instances the risk of ownership has not resulted in any advantage to the owner, who therefore took chances for nothing.